

into account the actual cost of these goals today as well as the impact of inflation on that cost. For example, Akanksha's wedding, which Mr Talwar reckons can be managed in Rs 70 lakh today, will require an outlay of Rs 1.2 crore in 2024 when it is actually expected.

The 'asking run rate' of 21 per cent for Mr Talwar seems steep, especially compared to the kind of returns he has generated in the past. After accounting for the losses on his real estate investments, his portfolio has only given him an annualized return of 4 per cent since 1990, the year he started working.

There was no way he could hope to achieve a 21 per cent per annum return every year. This meant Mr Talwar would have to amend his 'ambitious' goals.

Ultimately, he lets go of his objective to buy a holiday home and reduces the frequency of overseas vacations and purchase of a new car to three and five years respectively. With these changes, Mr Talwar's required rate of return drops to a more achievable number of 16 per cent per annum.

This is what Mr Talwar's revised goals look like: